

Assumptions & status check this edition

- Scheduler:** healthy — single fire, 00:09 UTC (approx. 9 min after the 00:00 UTC slot), no duplicate, no gap. Fourth consecutive clean fire since the edition-8 anomaly (editions 9, 10, 11).
- Standing fact re-verified fresh:** Kevin Warsh remains Fed Chair (federalreserve.gov, unchanged)²⁰.
- Live data conflict, disclosed rather than forced to one figure:** September 16 FOMC hike-vs-hold odds diverge sharply by venue Monday — CME-tracker reads ranged approx. 56%–66% hike depending on source/time; Polymarket showed 52% hike, Kalshi's most recent (Friday) read was 47% hike — a wider spread than edition 10 flagged^{10,11,12,13}. Treat as a genuine cross-venue disagreement, not a data error.
- Methodology note (new this edition):** a same-day closing 11-sector view was previously flagged unobtainable in this report. This edition found that SPDR sector-ETF closing prices (XLE, XLK, etc.) are reliably available same-day via Stockanalysis.com and function as a clean same-day sector-close proxy — used as chart #2 below. Worth using as the standing approach going forward instead of chasing an official GICS close table.
- Carried-forward open item, still unresolved:** Bank of Japan September hike odds are conflicted across three sources by an even wider margin than last edition (approx. 25%–88%) — reported as an unresolved range, not a point estimate^{26,27,28}. Platinum's Friday 28 Aug settle also remains unconfirmed after a second attempt.

60-second read

- Renewed US–Iran military escalation dominated the tape.** US forces struck Iranian rocket launchers near the Strait of Hormuz over the weekend into Monday — the first such US action in about a month; Iran responded with strikes on US-linked targets and reported attempts to disrupt shipping in the Strait, and Trump signaled Kharg Island (approx. 90% of Iran's oil-export capacity) could be hit next^{1,2,3}. Oil jumped (Brent above \$90, WTI approx. \$85), equities fell broadly, energy stocks were the sole clear sector gainer.
- A second, unrelated shock hit utilities: California's SB 492 wildfire bill advanced without a liability cap for utilities.** Edison International closed –23.07% (worst session since 2001) and PG&E –20.06% after the bill omitted a \$6bn per-incident liability cap, an insurer-lawsuit block, and a Wildfire Fund replenishment mechanism; Mizuho cut both names to Neutral same-day and BMO raised its PG&E wildfire-liability estimate to \$10/share from \$6^{4,5,6,7}.
- Apple's 15-year Cook era ended.** Monday was Tim Cook's last day as CEO; hardware-engineering chief John Ternus takes over 1 Sept with Cook moving to executive chair. AAPL closed –0.89%^{8,16}.
- Nvidia deepened its custom-silicon bet.** A \$3.5bn investment in MediaTek convertible bonds extends the NVLink Fusion partnership toward custom XPUs for hyperscalers, cloud, AI PCs and autos; NVDA closed +1.36%^{9,16}.
- The Fed's rate path got harder to read, not easier.** Treasury 10-year yields hit 4.75–4.76%, the highest since Jan 2025, on continued repricing of Friday's hawkish Warsh Jackson Hole keynote^{17,18}, but September-hike odds across CME, Polymarket and Kalshi trackers now disagree by 9–19 points (see status box above) rather than converging.

1 Market recap

S&P 500 7,686.14 –0.3% ^{1,16}	Dow Jones 53,185.90 –0.7% ^{1,16}	Nasdaq Comp. 26,370.89 –0.1% ^{1,16}	Russell 2000 2,956.45 –0.5% ^{1,16}	VIX 14.92 +3.39% ^{14,15}	10Y Treasury 4.75–4.76% highest since Jan-25 ^{1,17}
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All four indexes fell Monday, the last session of August, but all three majors still closed the month higher: S&P +12.3% YTD, Dow +10.7% YTD, Nasdaq +13.5% YTD, Russell 2000 +19.1% YTD (Russell was the sole weekly-basis laggard from Friday)¹. The proximate driver was the fresh Hormuz strikes (60-second read #1) pushing Brent above \$90 (+2.7%, AP-confirmed) and re-igniting geopolitical-risk hedging just as Treasury yields extended their post-Jackson-Hole climb to a 19-month high^{1,2,3,17}. Energy was the only sector with a clear, unambiguous gain; the Edison/PG&E-driven utilities air-pocket was a separate, California-specific story layered on top, not a read-through from the Iran news^{4,5,6}. VIX rose 3.39% to 14.92 but stayed below 15 — a rise in risk premium, not a stress signal¹⁴.

2 Equities and earnings

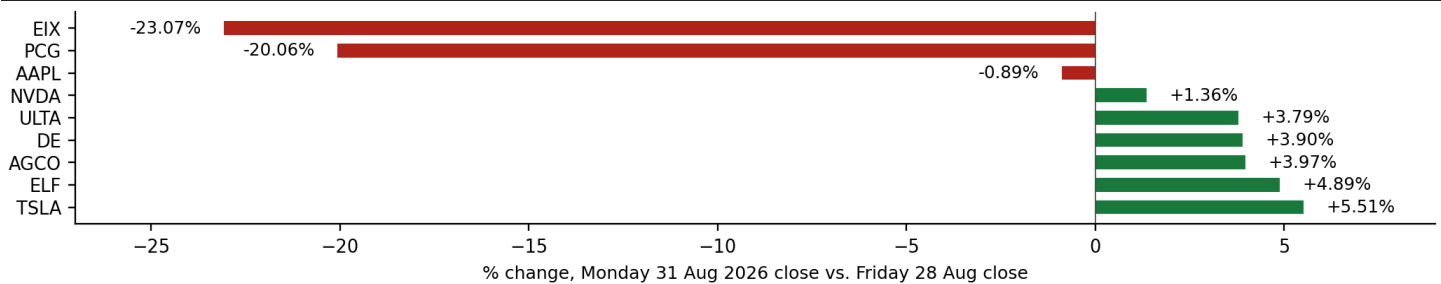


Chart 1: Monday's largest single-stock closes vs. Friday, sourced Stockanalysis.com¹⁶.

California utilities: the day's largest single-stock event

Edison International (EIX) –23.07% to \$53.98 — its worst session since 2001 — and **PG&E (PCG)** –20.06% to \$13.27¹⁶, after California's Senate Bill 492 advanced over the weekend without the protections utilities had sought: no \$6bn-per-incident liability cap, no block on insurer subrogation suits, no repeal of the 2028 wildfire-fund sunset, and no fund-replenishment mechanism^{4,6}. Mizuho cut both EIX and PG&E to Neutral same-day, plus Sempra Energy on read-across; BMO Capital raised its estimated PG&E wildfire-liability exposure to \$10/share from \$6; Wells Fargo separately flagged the tail risk^{4,7}. The move is a legislative/liability re-rating specific to California utilities, not a broader utilities de-risking — it explains most of Monday's –1.17% XLU close on its own (chart 2).

Apple: the Cook era ends

Monday was Tim Cook's final day as CEO after 15 years in which, per coverage marking the transition, Apple's market value grew by roughly \$4 trillion; hardware-engineering SVP John Ternus becomes CEO effective 1 Sept, with Cook moving to executive chairman⁸. AAPL closed –0.89% to \$316.85, having pared a steeper

intraday decline (approx. -1.5% to -1.7% at mid-morning)^{16,2}.

Nvidia — MediaTek investment; chip complex broadly firmer

Nvidia announced a **\$3.5bn investment in MediaTek convertible bonds** to deepen the NVLink Fusion partnership toward custom XPUs for hyperscale, cloud, AI-PC and automotive customers⁹. NVDA closed **+1.36% to \$220.50**¹⁶ — a reminder for the report: at least one aggregator mis-served Friday's post-earnings-fade close (-4.57%) under a Monday MediaTek headline; that figure belongs to Friday and is not repeated here.

Energy majors ride the oil spike; Tesla catches a second tailwind

Chevron and Exxon Mobil each traded **approx. +3%** intraday (mid-morning quote, not a confirmed close) as crude rallied on the Hormuz strikes²¹. **Tesla closed +5.51% to \$367.95**, helped by anticipation of an upcoming Cybercab/Optimus event and, secondarily, the "gas-price trade" tailwind from oil's climb toward \$86^{16,33,34}.

Consumer/beauty: Friday's post-earnings selloff reverses

Ulta Beauty (+3.79% to \$537.10) and e.l.f. Beauty (+4.89% to \$109.19) both rebounded after being sold into the weekend despite Q2 beats and raised FY guidance (Ulta: EPS \$6.55 vs. \$6.20 est., comp sales +3.8%)^{16,35}.

Large industrials: Baird's ag-equipment upgrade

Baird double-upgraded the row-crop-equipment complex to Outperform: **Deere +3.90% to \$654.91** (PT raised to \$800 from \$640) and **AGCO +3.97% to \$117.89** (PT raised to \$150 from \$120), both citing a North America row-crop demand recovery and 2027 operating-leverage upside^{16,19,36,37}.

Sector close (SPDR proxies)

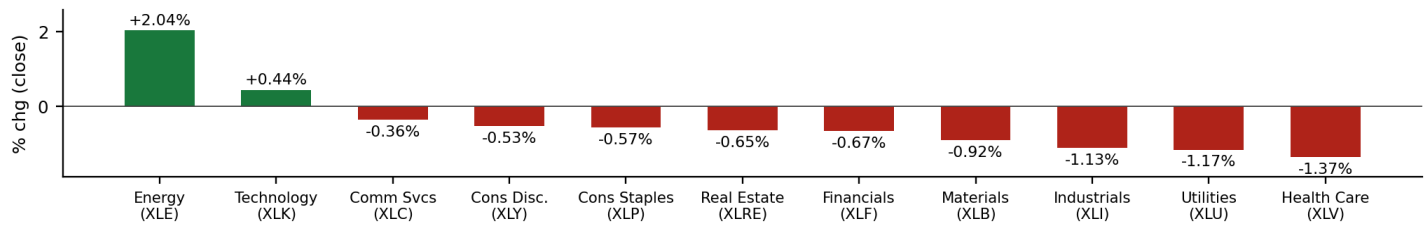


Chart 2: all 11 SPDR sector-ETF closes, Monday 31 Aug 2026, used as a same-day sector proxy (see Methodology note)¹⁶.

Energy (XLE +2.04%) and Technology (XLK +0.44%) were the only sectors to close higher; Health Care (XLV -1.37%) and Utilities (XLU -1.17%) were the weakest — Utilities' driver is the EIX/PCG story above, Health Care's Monday driver could not be tied to a single confirmed catalyst in this window and is left unexplained rather than guessed at¹⁶.

Analyst actions (broader tape)

A tracked list (single-sourced, not independently cross-checked line-by-line) showed 36 upgrades vs. 13 downgrades Monday; notable names in this report's coverage bias include Abercrombie & Fitch (Argus, to Buy), Estée Lauder (CICC, to Outperform), CNH Industrial (Baird, to Outperform) and a fresh Lumentum initiation at Outperform (Evercore ISI)³².

3 Macro, policy and rates

Fed Chair Kevin Warsh confirmed unchanged (federalreserve.gov, re-verified fresh this edition)²⁰. No Fed speakers were on Monday's calendar; the rates move was continued repricing of Friday's hawkish Jackson Hole keynote plus the fresh Iran-driven risk premium. **10-year Treasury yield rose to approx. 4.75–4.76%**, a fourth straight daily increase and the highest since January 2025 (secondary/live market levels — official Treasury par yields and the Fed's H.15 lag one business day and were not used); 2-year approx. 4.35%, 30-year approx. 5.24%^{17,18}.

Sept 16 FOMC odds — a widening, disclosed disagreement across venues, not a single consensus figure: CME-tracked readings ranged from approx. 56% to approx. 66% hike depending on the source and hour Monday (official CME FedWatch itself blocks automated access; secondary trackers used)^{10,11,21}; Polymarket showed 52% hike live Monday¹²; Kalshi's most recent read (Friday, no fresh Monday print found) was 47% hike, up sharply from approx. 30% pre-Jackson-Hole¹³. The 9–19 point spread across venues is wider than edition 10's already-disclosed gap and is reported as a live conflict rather than resolved to one number.

Geopolitics dominated the news flow. US strikes on Iranian rocket launchers near Larak Island in the Strait of Hormuz — the first such action in about a month — prompted Iranian retaliation against US-linked targets and reported attempts to disrupt Hormuz shipping; Trump indicated Kharg Island, source of roughly 90% of Iran's oil-export capacity, could be targeted next, and Treasury Secretary Bessent's "Operation Economic Outcast" sanctions campaign continues rolling out new secondary sanctions weekly^{1,2,3}.

Trade and labor-data threads: no fresh Monday-dated news was found on the US-Canada tariff dispute — Canada's approx. \$20bn retaliatory tariffs remain set to take effect 8 Sept²⁵ — or on Thursday's preliminary BLS payroll-benchmark revision (-79,000 through March 2026)²⁴; both threads are simply quiet this window, not resolved.

Day ahead (Tue 1 Sept, ET): ISM Manufacturing PMI, 10:00am, consensus 55.2 (prior 55.6); JOLTS job openings (July), 10:00am, consensus approx. 7.33mn (prior 7.359mn)^{22,23}.

4 Commodities and FX

Oil: both benchmarks rose on the Hormuz strikes, reversing Friday's de-escalation dip. **Brent closed above \$90/bbl, +2.7%** (AP-confirmed, the more authoritative read)¹; secondary vendor levels ranged \$89.4–\$90.9³⁹. **WTI: approx. \$85.2–\$85.4 (+2.2–2.4%)** on the primary secondary-market read, with one vendor as high as \$86.7 — reported as a range given genuine cross-source disagreement³⁸. Natural gas ticked up to approx. \$2.92/MMBtu (+0.7–1.0%, sources disagree on the exact decimal)⁴⁰.

Precious metals stabilized rather than extending Friday's hawkish-Warsh selloff. Gold traded in a wide \$4,430–\$4,509 vendor range, net roughly flat to -1%^{41,42,43,44}; silver firmed slightly to a \$66.3–\$67.8 range, net roughly flat to +1%, after Friday's sharp drop^{45,46}. **Copper** held approx. \$6.58–\$6.59/lb (+0.1–0.3%), still approx. 2% below both the confirmed 12 Aug Comex ATH (\$6.7140) and the 26 Aug intraday record (\$6.7775)^{47,48}. **Platinum** eased to a \$1,780–\$1,847 range (roughly -1.2% to -1.9%); its Friday 28 Aug settle remains unconfirmed after a second attempt^{49,50}.

FX: DXY eased to approx. 99.42 (−0.27%) even as yields rose, alongside a firmer EUR/USD (1.1616, +0.26%) and roughly flat USD/JPY (approx. 159.8) and GBP/USD (1.3547, +0.09%)^{51,52,53}. USD/CAD held approx. 1.385–1.386 Monday; this edition also resolved Friday 28 Aug's previously-unconfirmed USD/CAD close to approx. 1.3905 (single-sourced, moderate confidence)^{29,54}. USD/MXN approx. 17.00, little changed⁵². Bitcoin eased slightly to approx. \$78,414 (−0.46%)⁵⁶.

5 Derivatives, volatility and positioning

VIX closed 14.92 (+3.39%), cross-verified via Cboe's own delayed-quotes feed and corroborated independently by CNBC and a market-summary vendor^{14,15}. **VIX3M 17.67 (+1.09%); ratio 0.844** — still firm contango, a non-stressed term structure. **VVIX 86.29 (−0.39%)**¹⁴. VIX9D, VIX6M and SKEW could not be confirmed for Monday — the Cboe feed's timestamps on those three series were still stuck on Friday's stale prints at time of check, so they are not reported as Monday data (Annex A).

Positioning color (single-sourced, third-party, not exchange-official): one dealer-flow tracker put SPX approx. 17 points above a 7,695 gamma-flip level Monday morning, consistent with a positive-gamma regime that tends to dampen realized vol on either side of the line; the same source flagged elevated implied vol into next week's prints (MongoDB, Snowflake, Cardo, Dell all report the week of 4 Sept) and continued fading of Nvidia's post-earnings vol premium^{57,58,59}.

CFTC CoT: no new report falls in this window as expected — the next release (data as of Tue 1 Sept) is due Fri 4 Sept⁶⁰. **Funding:** SOFR's most recent published print remains 3.65% for Thu 27 Aug (one-business-day lag; Monday's print is not yet out)⁶¹. **ON RRP take-up jumped to \$6.73bn Monday from Friday's \$175mn**, award rate flat at 3.50% — a sizeable move, plausibly month-end-related, flagged for the reader rather than explained away^{62,63}. Fed H.4.1: no new release this window (last: week ended 26 Aug; next due Thu 3 Sept)⁶⁴.

6 The day ahead

Date (ET)	Release	Consensus	Prior
Tue 1 Sept, 10:00am	ISM Manufacturing PMI (Aug)	55.2	55.6
Tue 1 Sept, 10:00am	JOLTS Job Openings (Jul)	approx. 7.33mn	7.359mn
Wed 2 Sept	ADP Employment; FOMC Beige Book	approx. +47K (ADP)	approx. +44K
Thu 3 Sept	ISM Services; jobless claims; Fed H.4.1	—	—
Fri 4 Sept	Nonfarm payrolls (Aug) — week's marquee event	approx. +58K	−23K
Mon 8 Sept	Canada's approx. \$20bn retaliatory tariffs take effect	—	—

Sector setup into the week

- Energy stays structurally bid while the Hormuz risk premium is live and headline-driven — a Kharg Island strike, if it happens, is the tail scenario worth watching for a much larger oil move.
- California-exposed utilities (EIX, PCG, and by extension Sempra) face further legislative/liability re-rating risk as SB 492 moves through the process — this is idiosyncratic to the sector's California names, not a broad utilities read-through.
- Friday's nonfarm payrolls is the week's dominant catalyst: the first hard labor-market read since both the hawkish Jackson Hole pivot and last week's downward payroll-benchmark revision, and the print most likely to resolve (or widen further) the CME-vs-Polymarket-vs-Kalshi rate-odds gap flagged above.

Annex A — Could not be verified this edition

- VIX9D, VIX6M and SKEW Monday closes — Cboe feed timestamps stuck on Friday's stale prints at time of check.
- CBOE daily equity put/call ratio; MOVE index — not sourced this window (persistent).
- Official CME/ICE settlement prices for WTI, Brent, gold, silver, copper, platinum, natural gas — vendor closing/live snapshots used throughout instead (persistent).
- Official CME FedWatch page — blocks automated access; secondary trackers used and disclosed as a range (persistent).
- WTI exact Monday level/% — genuine cross-vendor disagreement, \$84.5–\$86.7 range reported instead of a point figure.
- Gold exact Monday level — four sources spread \$4,430–\$4,509; reported as a range.
- Natural gas exact % change — Trading Economics itself showed two different figures (+0.71% vs. +1.02%) on the same page.
- Platinum's Friday 28 Aug settle — unresolved after a second attempt across two editions.
- Chevron's and Exxon Mobil's exact Monday closing % — only a mid-morning intraday quote (approx. +3% each) could be confirmed.
- Same-day official closing 11-sector GICS index table — used SPDR sector-ETF closes as a same-day proxy instead (see Methodology note and chart 2).
- Health Care's (XLV) specific Monday driver — the sector's weakest close (−1.37%) could not be tied to a single confirmed catalyst.
- Bank of Japan September hike-odds specific figure — three sources conflict by approx. 25%–88%; reported as an unresolved range.
- Whether any company reported quarterly earnings Monday 31 Aug itself — none could be confirmed via available calendars.
- Exact driver/magnitude for smaller movers (Modular Medical, Sable Offshore, LG Display) mentioned in a single vendor summary — not independently corroborated, omitted from the body.
- A claimed "Monday guidance beat" for Similarweb (SMWB) — its actual Q2 report/guidance raise was filed 12 Aug; likely a stale-data mislabel, omitted from the body.
- Dealer gamma/GEX exact figures and any ODTE volume tape — single-sourced third-party color only, not exchange-official.
- Exact time/magnitude of the CME-FedWatch 64–66% hike readings — one source (Forbes) returned only a headline (403 on full text).

Annex B — Sources

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Method: every figure above carries a named source; where sources disagreed, the more authoritative source (AP/Reuters/Cboe/federalreserve.gov/CFTC) was used and the disagreement disclosed rather than silently resolved. Nothing was estimated, inferred, or filled from memory — items that could not be verified are listed in Annex A. Single-stock and sector figures are Stockanalysis.com closing data unless flagged otherwise. Vendor commodity/FX levels are closing or late-session snapshots, not exchange-confirmed settlements, except where AP's wire figure is cited directly. This edition covers the full Monday 31 Aug 2026 US session (previous cutoff: Sun 30 Aug 2026, approx. 20:15 ET).